

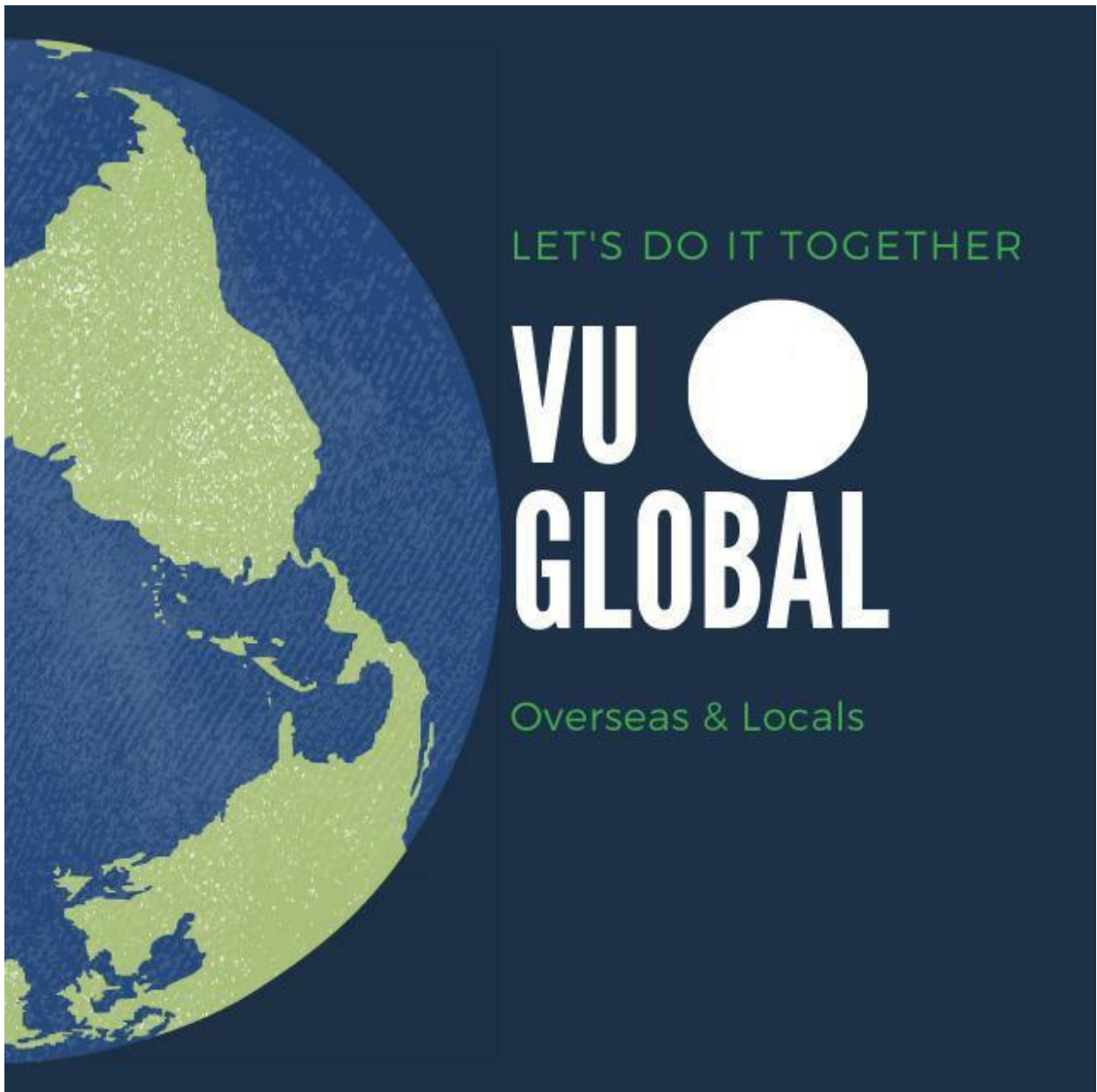
VU GLOBAL STUDY GROUP

ECO401 – Economics

FALL 2021

Collection of Latest MCQs

Effort By: Mudassir Rao, Salma Muhammad, Tehreem Mughal, Aarish Ali



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This file is prepared to
help the students for
the preparation of
Midterms

2021 Exams

For correction and
omission please drop a
text at +96569002641

Question # 1 of 10 (Start time: 07:18:47 PM, 31 December 2021)

Total Marks: 1

A farm can produce 100 kilograms of apples per year with 2 workers and 400 kilograms of apples per year with 3 workers. The marginal product of the third worker is:

Select the correct option

☐	100 kilograms.
☐	500 kilograms.
☒	300 kilograms.
☐	400 kilograms.

Click to Save Answer & Move to Next Question

Question # 2 of 10 (Start time: 07:19:47 PM, 31 December 2021)

Total Marks: 1

If marginal utility is greater than price, then consumer will increase:

Select the correct option

☐	Supply
☐	Production
☐	Income
☒	Consumption

Click to Save Answer & Move to Next Question

Question # 3 of 10 (Start time: 07:21:21 PM, 31 December 2021)

Total Marks: 1

Engel curve shows the positive relationship between quantity demanded of normal good and:

Select the correct option

☐	Price.
☐	Money supply.
☒	Income.
☐	Supply.

Question # 4 of 10 (Start time: 07:22:39 PM, 31 December 2021)

Total Marks: 1

A firm is producing output by using two inputs i.e. labor and capital, paying wages to labor and rent to capital. Suppose isocost line has shifted inward, it shows that:

Select the correct option

☐	Price of labor has been increased
☐	Price of capital has been increased
☒	Price of labor and capital has been increased
☐	Price of labor and capital has been decreased

[Click to Save Answer & Move to Next Question](#)

Question # 5 of 10 (start time: 07:24:12 PM, 31 December 2021)

Total Marks: 1

Which of the following indicates optimal consumption point for the consumer;

Select the correct option

☐ $P_x/P_y = \text{zero} = MU_x/MU_y$

☐ $P_y/P_x > \Delta Y/\Delta X = MU_x/MU_y$

☒ $P_x/P_y = \Delta X/\Delta Y > MU_x/MU_y$

☐ $P_x/P_y = \Delta Y/\Delta X = MU_x/MU_y$

ECO401 - Economics (Quiz No. 2)

Time Left: 00:00:00
sec(s)
Quiz Start Time: 07:18 PM, 31 December 2021

Question # 6 of 10 (start time: 07:25:27 PM, 31 December 2021)

Total Marks: 1

----- is the rate at which a firm can substitute capital for labor and hold output constant.

Select the correct option

☐ Marginal rate of production

☐ Marginal rate of substitution

☐ Diminishing marginal returns

☒ Marginal rate of technical substitution

Click to Save Answer & Move to Next Question

Question # 7 of 10 (Start time: 07:26:58 PM, 31 December 2021)

Total Marks: 1

Ali spends his money income on food and clothes. Holding other things constant, if his income increase by 25%, his budget line would;

Select the correct option

 Reload Math Equations

☐	Shift inward
☐	Rotate about the axis for food
☐	Rotate about the axis for clothes
☒	Shift outward

Click to Save Answer & Move to Next Question

Question # 8 of 10 (Start time: 07:27:53 PM, 31 December 2021)

Total Marks: 1

If marginal product is below average product:

Select the correct option

☐	Average variable costs will fall
☒	The average product will fall
☐	The total product will fall
☐	Total revenue will fall

Click to Save Answer & Move to Next Question

Question # 9 of 10 (start time: 07:29:01 PM, 31 December 2021)

Total Marks: 1

A line which charts out all the different combinations of two goods which a consumer can purchase, is called;

Select the correct option

☐	Indifference Curve
☒	Budget Line
☐	Demand Curve
☐	Supply Curve

Click to Save Answer & Move to Next Question

Assume that the first four units of a variable input generate corresponding total outputs per period of 100, 250, 400, and 550 respectively. The marginal product of the second unit of input is;

Select the correct option

☐	100.
☒	50.
☐	200.
☐	150.

Click to Save Answer & Move to Next Question

Question # 2 of 10 (Start time: 07:33:25 PM, 31 December 2021)

Total Marks: 1

The law of diminishing returns states that as more units of a variable factor are added to a fixed factor:

Select the correct option



The total product falls.



The marginal product falls.



The marginal product increases.



Marginal utility falls.

Question # 2 of 10 (Start time: 07:33:25 PM, 31 December 2021)

Total Marks: 1

The law of diminishing returns states that as more units of a variable factor are added to a fixed factor:

Select the correct option



The total product falls.



The marginal product falls.



The marginal product increases.



Marginal utility falls.

Click to Save Answer & Move to Next Question

Question # 3 of 10 (Start time: 07:34:42 PM, 31 December 2021)

Total Marks: 1

The law of diminishing returns assumes:

Select the correct option

☐	There are no variable factors of production.
☐	Utility is maximised when marginal product falls.
☒	There are no fixed factors of production.
☐	Some factors of production are fixed.

Question # 4 of 10 (Start time: 07:36:28 PM, 31 December 2021)

Total Marks: 1

Marginal Utility analysis is an analysis of utility which is also known as:

Select the correct option

☐	Measurement Approach
☐	Cardinal Approach
☒	Indifference Curve Approach
☐	Ordinal Approach

Question # 5 of 10 (Start time: 07:37:59 PM, 31 December 2021)

Total Marks: 1

Suppose firm is producing 800 units of a product by employing 40 units of labor and 20 units of capital. If the marginal physical product of labor (MPPL) and the marginal physical product of capital (MPPK) are 20 units and 25 units respectively, then marginal rate of technical substitution is:

Select the correct option

☒	0.8
☐	0.16
☐	0.25
☐	0.9

Click to Save Answer & Move to Next Question

Question # 6 of 10 (Start time: 07:39:04 PM, 31 December 2021)

Total Marks: 1

If the quantity of all inputs are increased by 30% and output expands by 25%, then the firm is experiencing ;

Select the correct option

☐	Constant returns to scale
☒	Decreasing returns to scale
☐	None of above
☐	Increasing returns to scale

Click to Save Answer & Move to Next Question

Question # 7 of 10 (Start time: 07:40:01 PM, 31 December 2021)

Total Marks: 1

Ali has 1 acre land in Bahawalpur. He grows wheat on this land by employing 10 workers. To get maximum output, he decides to increase number of workers. The law of diminishing returns states that as more workers are employed to grow wheat on 1 acre land:

Select the correct option

☐	The total physical product of wheat falls.
☐	The marginal physical product of wheat falls.
☒	Marginal utility of wheat falls.
☐	The marginal physical product of wheat increases.

Click to Solve Answer & Move to Next Question

Question # 8 of 10 (Start time: 07:41:22 PM, 31 December 2021)

Total Marks: 1

Suppose the total utility derived from first four units of a good consumed are 20, 27, 32, and 35 respectively. What is the marginal utility of the third unit?

Select the correct option

 Reload Math Equations

☐	10
☐	5
☒	zero
☐	15

Not sure

As we move down along the indifference curve from left to right, the slope of the curve;

Select the correct option

☐	Shifted
☐	Increases
☐	Rises
☒	Decreases

[Click to Save Answer & Move to Next Question](#)

Question # 10 of 10 (Start time: 07:44:00 PM, 31 December 2021)

Total Marks: 1

A firm owned by a large number of changing shareholders is a

Select the correct option

☐	Sole proprietorship
☒	Limited company
☐	None of above
☐	Partnership

[Click to Save Answer & Move to Next Question](#)

Question # 1 of 10 (Start time: 09:15:27 PM, 31 December 2021)

Total Marks: 1

Suppose a firm is facing higher per unit cost due to increase in size of the industry. This implies that firm is experiencing:

Select the correct option

☒	Internal diseconomies of scale
☐	External diseconomies of scale
☐	External economies of scale
☐	Internal economies of scale

Click to Save Answer & Move to Next Question

Question # 2 of 10 (Start time: 09:17:00 PM, 31 December 2021)

Total Marks: 1

A 50% increase in all inputs results in more than 50% increase in output, this statement describes an aspect of :

Select the correct option

☐	Increasing returns to scale
☐	Economies of scale.
☒	Decreasing returns to scale
☐	Diseconomies of scale.

Click to Save Answer & Move to Next Question

Question # 1 of 10 (Start time: 09:19:07 PM, 31 December 2021)

Total Marks: 1

How much unit of a good you have to give up in order get an additional unit of another good, is measured as;

Select the correct option

- | | |
|----------------------------------|-------------------------------|
| ☐ | Marginal Rate of Substitution |
| ☒ | Marginal Utility |
| ☐ | Marginal Substitution |
| ☐ | Marginal Value |

Click to Save Answer & Move to Next Question

Question # 2 of 10 (Start time: 09:19:24 PM, 31 December 2021)

Total Marks: 1

Assume that land used for growing wheat is fixed in quantity and numbers of workers employed are variable. When Ali hires 9 workers, he gets 15 tonnes of wheat. By employing 10 workers, wheat production increases from 15 tonnes to 20 tonnes. The marginal physical product of wheat in this case will be:

Select the correct option

- | | |
|----------------------------------|------------|
| ☐ | 2 tonnes. |
| ☐ | 20 tonnes. |
| ☒ | 5 tonnes. |
| ☐ | 35 tonnes. |

Click to Save Answer & Move to Next Question

Question # 4 of 10 (Start time: 09:20:37 PM, 31 December 2021)

Total Marks: |

Other things remaining the same, if Anam drinks more and more bottles of coke, her marginal utility from coke will.

Select the correct option

 Reload Math Equations

☐	Increase
☒	Decrease
☐	Remains constant
☐	Increase and then decrease

Click to Save Answer & Move to Next Question

Question # 3 of 10 (Start time: 09:22:03 PM, 31 December 2021)

Total

Suppose that 24 units of output are produced by using 6 units of labor. Which of the following is TRUE in this context?

Select the correct option

☐	The average product of labor is 4.
☒	The marginal product of labor is 4.
☐	The total product of labor is $1/4$.
☐	None of the given options.

Click to Save Answer & Move to Next Question

As we move down along the indifference curve from left to right, the slope of the curve;

Select the correct option

☐	Increases
☐	Rises
☐	Shifted
☒	Decreases

Click to Save Answer & Move to Next Question

Question # 4 of 10 (Start time: 09:22:59 PM, 31 December 2021)

Total Marks: 1

The optimal point of consumption is that point where consumer surplus becomes:

Select the correct option

 Reload Math Equations

☐	Negative
☒	Zero
☐	Positive
☐	Maximum

Click to Save Answer & Move to Next Question

Question # 5 of 10 (Start time: 09:23:24 PM, 31 December 2021)

Total Marks: 1

If marginal utility is equal to 50 and price is equal to 40, consumer surplus will be:

Select the correct option

☐	100
☒	10
☐	90
☐	20

Click to Save Answer & Move to Next Question

ECO401 - Economics (Quiz No. 2)

Quiz Start Time: 09:19 PM, 31 December 2021

Question # 5 of 10 (Start time: 09:24:01 PM, 31 December 2021)

Total Marks: 1

The L-shaped indifference curve line indicates that the two goods are perfect;

Select the correct option

☐	Food
☒	Compliments
☐	Substitutes
☐	Luxuries

Click to Save Answer & Move to Next Question

Question # 7 of 10 (Start time: 09:24:14 PM, 31 December 2021)

Total Marks: 1

The law of diminishing marginal utility indicates that marginal utility curve is:

Select the correct option

- | | |
|----------------------------------|-------------------|
| ☐ | U shaped. |
| ☐ | Upward sloping. |
| ☐ | Vertical. |
| ☒ | Downward sloping. |

Question # 6 of 10 (Start time: 09:24:53 PM, 31 December 2021)

Total Marks: 1

Diminishing marginal returns implies:

Select the correct option

- | | |
|----------------------------------|------------------------------------|
| ☒ | Decreasing average fixed costs. |
| ☐ | Increasing marginal costs. |
| ☐ | Decreasing average variable costs. |
| ☐ | Decreasing marginal costs. |

Click to Save Answer & Move to Next Question

Question # 7 of 10 (Start time: 09:26:04 PM, 31 December 2021)

Total Marks: 1

Which of the following is considered to be a variable cost in the long run?

Select the correct option

- | | |
|----------------------------------|--|
| ☐ | Expenditures for research and development. |
| ☐ | Expenditures for wages. |
| ☐ | Expenditures for raw materials. |
| ☒ | All of the given Costs. |

Click to Save Answer & Move to Next Question

Question # 8 of 10 (Start time: 09:26:02 PM, 31 December 2021)

Total Marks: 1

If sugar and tea are considered to be perfect complements, then a decrease in price of sugar will lead to:

Select the correct option

- | | |
|----------------------------------|---|
| ☒ | Increase in quantity demanded of tea. |
| ☐ | Decrease in quantity demanded of tea. |
| ☐ | Decrease in quantity demanded of sugar. |
| ☐ | Increase in quantity supplied of tea. |

Click to Save Answer & Move to Next Question

Question # 8 of 10 (Start time: 09:26:02 PM, 31 December 2021)

Total Marks: 1

If sugar and tea are considered to be perfect complements, then a decrease in price of sugar will lead to:

Select the correct option

☒	Increase in quantity demanded of tea.
☐	Decrease in quantity demanded of tea.
☐	Decrease in quantity demanded of sugar.
☐	Increase in quantity supplied of tea.

Click to Save Answer & Move to Next Question

Question # 8 of 10 (Start time: 09:26:50 PM, 31 December 2021)

Total Marks: 1

The law of diminishing marginal utility indicates that marginal utility curve is:

Select the correct option

☒	Downward sloping.
☐	Vertical.
☐	U shaped.
☐	Upward sloping.

Click to Save Answer & Move to Next Question

Question # 9 of 10 (Start time: 09:27:35 PM, 31 December 2021)

Total Marks: 1

If a firm's long-run average cost of production decreases as a result of increase in production, then the firm is experiencing:

Select the correct option

- ☒ Diminishing returns to factors.
- ☐ Economies of scale.
- ☐ Diseconomies of scale.
- ☐ Diminishing returns to scale.

[Click to Save Answer & Move to Next Question](#)

Question # 8 of 10 (Start time: 09:26:02 PM, 31 December 2021)

Total Marks: 1

If sugar and tea are considered to be perfect complements, then a decrease in price of sugar will lead to:

Select the correct option

- ☐ Decrease in quantity demanded of sugar.
- ☐ Decrease in quantity demanded of tea.
- ☐ Increase in quantity supplied of tea.
- ☒ Increase in quantity demanded of tea.

[Click to Save Answer & Move to Next Question](#)

Question # 9 of 10 (Start time: 09:29:58 PM, 31 December 2021)

Total Marks: 1

When the price of one good changes, the purchasing power of consumer changes, which effect consumer's;

Select the correct option

☐	Supply Curve
☐	Engel Curve
☐	Phillip Curve
☒	Budget Line

Click to Save Answer & Move to Next Question

ECO401 – Economics (Quiz No. 2)

Quiz Start Time: 09:19 PM, 31 December 2021

Question # 10 of 10 (Start time: 09:30:15 PM, 31 December 2021)

Total Marks: 1

A firm owned by a large number of changing shareholders is a

Select the correct option

☐	Partnership
☒	Limited company
☐	None of above
☐	Sole proprietorship

Click to Save Answer & Move to Next Question

Which of the following is TRUE about the total cost curve?

Select the correct option

- | | |
|----------------------------------|------------------------------------|
| ☐ | It gets steeper as output rises. |
| ☐ | It relates output with total cost. |
| ☒ | All of the given options are true. |
| ☐ | It is usually upward sloping. |

If marginal product is below average product:

Select the correct option

- | | |
|----------------------------------|----------------------------------|
| ☐ | Average variable costs will fall |
| ☐ | Total revenue will fall |
| ☒ | The average product will fall |
| ☐ | The total product will fall |

Marginal rate of technical substitution is the slope of:

Select the correct option

☒	Isoquant curve
☐	Indifference curve
☐	Isocost curve
☐	Budget line

Question # 3 of 10 (Start time: 09:41:30 PM, 31 December 2021)

The substitution effect of a price rise is always:

Select the correct option

☐	Undefined.
☒	Negative.
☐	Zero.
☐	Positive.

Assume that land used for growing wheat is fixed in quantity and numbers of workers employed are variable. When Ali hires 9 workers, he gets 15 tonnes of wheat. By employing 10 workers, wheat production increases from 15 tonnes to 20 tonnes. The marginal physical product of wheat in this case will be:

Select the correct option

☒	5 tonnes.
☐	20 tonnes.
☐	35 tonnes.
☐	2 tonnes.

[Click to Save Answer & Move to Next Question](#)

The change in total physical product that results from employing an extra unit of the variable factor is the:

Select the correct option

☐	Average physical product of labor
☒	Marginal physical product of labor
☐	Total profit
☐	Total revenue

Not sure

Question # 6 of 10 (Start time: 09:46:23 PM, 31 December 2021)

If a firm's long-run average cost of production decreases as a result of increase in production, then the firm is experiencing:

Select the correct option

- | | |
|----------------------------------|---------------------------------|
| ☐ | Diseconomies of scale. |
| ☒ | Economies of scale. |
| ☐ | Diminishing returns to factors. |
| ☐ | Diminishing returns to scale. |

Question # 7 of 10 (Start time: 09:47:03 PM, 31 December 2021)

Consumer will consume additional units of commodity until marginal utility becomes:

Select the correct option

- | | |
|----------------------------------|----------------------|
| ☐ | Equal to one |
| ☐ | Equal to the utility |
| ☒ | Equal to the price |
| ☐ | Equal to the income |

The law of diminishing returns assumes:

Select the correct option

☐	There are no fixed factors of production.
☐	Some factors of production are fixed.
☒	Utility is maximised when marginal product falls.
☐	There are no variable factors of production.

Question # 9 of 10 (Start time: 09:50:20 PM, 31 December 2021)

Which of the following statements describes the presence of diminishing returns?

Select the correct option

☐	The marginal product of a factor is constant.
☒	The marginal product of a factor is falling and negative.
☐	The marginal product of a factor is positive but falling.
☐	The marginal product of a factor is positive and rising.

Not sure

Question # 10 of 10 (Start time: 09:52:16 PM, 31 December 2021)

A line which charts out all the different points on which the consumer is indifferent with respect to the utility he derives, is called;

Select the correct option

☐	Budget Line
☐	Supply Curve
☒	Indifference Curve
☐	Demand Curve

Question # 1 of 10 (Start time: 09:58:39 PM, 31 December 2021)

Total Marks: 1

If marginal utility is greater than price, then consumer will increase:

Select the correct option

☐	Income
☐	Production
☒	Consumption
☐	Supply

Click to Save Answer & Move to Next Question

Question # 2 of 10 (Start time: 10:00:16 PM, 31 December 2021)

Total Marks: 1

Suppose Zohaib buys only bread and pizza from the market and both are normal goods. If price of pizza rises, the substitution effect will imply that:

Select the correct option



He will buy less quantity of pizza.



He will buy more quantity of pizza.



He will pay higher price for bread.



He will buy less quantity of bread.

Click to Save Answer & Move to Next Question

Question # 3 of 10 (Start time: 10:01:40 PM, 31 December 2021)

Total Marks: 1

Diminishing marginal returns implies:

Select the correct option

☒	Decreasing average variable costs.
☐	Decreasing marginal costs.
☐	Increasing marginal costs.
☐	Decreasing average fixed costs.

Click to Save Answer & Move to Next Question

Question # 6 of 10 (Start time: 10:05:37 PM, 31 December 2021)

Total Marks: 1

An indifference curve map shows a number of indifference curves corresponding to:

Select the correct option

☐	Lower levels of commodities
☐	Same levels of utility
☐	Lower levels of utility
☒	Different levels of utility

Click to Save Answer & Move to Next Question

Question # 7 of 10 (start time: 10:06:55 PM, 31 December 2021)

Total Marks: 1

If money income of consumer rises, his budget line will;

Select the correct option

☐	shift inward
☐	shift Crossward
☐	No Shift
☒	Shift Outward

Click to Save Answer & Move to Next Question

Question # 8 of 10 (start time: 10:07:53 PM, 31 December 2021)

Total Marks: 1

suppose that thirty units of output are produced by using five units of labour. The average product of labour is;

Select the correct option

☒	6
☐	1/6
☐	5
☐	30

Click to Save Answer & Move to Next Question

Question # 9 of 10 (start time: 10:09:12 PM, 31 December 2021)

Total Marks: 1

All consumes only two goods, Apples and Oranges. If he is confronted with different combinations of Apples and Oranges that give him the equal level of satisfaction, then he will:

Select the correct option

☒	Choose any combination of Apples and Oranges.
☐	Buy only Apples.
☐	Buy more Apples than Oranges.
☐	Buy more Oranges than Apples.

Click to Save Answer & Move to Next Question

Question # 10 of 10 (start time: 10:10:41 PM, 31 December 2021)

Total Marks: 1

In case of constant returns to scale isoquants:

Select the correct option

☒	Are equally spaced
☐	Become further and further apart from each other
☐	Become closer and closer to each other
☐	Undergoes no change

Click to Save Answer & Move to Next Question

If marginal utility is greater than price, then consumer will increase:

Select the correct option



Consumption



Supply



Income



Production

Click to

Question # 1 of 10 (Start time: 11:25:05 PM, 31 December 2021)

The law of diminishing marginal utility indicates that marginal utility curve is:

6

Select the correct option



U shaped.



Upward sloping.



Vertical.



Downward sloping.

Click to Save Answer & More

Question # 2 of 10 (Start time: 11:31:14 PM, 31 December 2021)

Total Marks: 1

A farm can produce 100 kilograms of apples per year with 2 workers and 400 kilograms of apples per year with 3 workers. The marginal product of the third worker is:

Select the correct option

☒	300 kilograms.
☐	500 kilograms.
☐	400 kilograms.
☐	100 kilograms.

Question # 1 of 10 (Start time: 11:34:24 PM, 31 December 2021)

Benefit or satisfaction derived from the consumption of goods and services is called:

Select the correct option

☒	Utility
☐	Desire
☐	Craving
☐	Wish

Click to

Suppose a person is willing to give up 20 units of good A (on the vertical axis) for 10 units of good B (on the horizontal axis), and his level of satisfaction is unchanged, the marginal rate of substitution is:

Select the correct option



5.



10.



0.5.



2.

Click to Save Answer & Move to Next Question

The law of diminishing returns assumes:

Select the correct option



Some factors of production are fixed.



There are no fixed factors of production.



There are no variable factors of production.



Utility is maximised when marginal product falls.

Click to Save

Anam is spending all of her income on buying medicines and clothes. Which of the following factors will shift the budget line in

Select the correct option

- | | |
|----------------------------------|----------------------------------|
| ☐ | A decrease in price of medicines |
| ☐ | A decrease in Anam's income |
| ☒ | An increase in Anam's income |
| ☐ | A decrease in price of clothes |

Click to Save Answer & Move to

Question # 5 of 10 (Start time: 11:39:42 PM, 31 December 2021)

'Advertising by a rival industry' is an example of:

Select the correct option

- | | |
|----------------------------------|--------------------------------|
| ☐ | Internal economies of scale |
| ☐ | Returns to factor |
| ☐ | Internal diseconomies of scale |
| ☒ | External economies of scale |

Not sure

Click to

Question # 6 of 10 (Start time: 11:40:51 PM, 31 December 2021)

If the marginal physical product is above the average physical product:

Select the correct option

- | | |
|----------------------------------|---|
| ☐ | Total revenue will fall. |
| ☒ | The average physical product will rise. |
| ☐ | The total physical product will fall. |
| ☐ | Average variable costs will fall. |

Click to Save

Question # 8 of 10 (Start time: 11:40:49 PM, 31 December 2021)

Total Marks: 1

Which of the following is true for decreasing returns to scale?

select the correct option

- | | |
|----------------------------------|---|
| ☐ | 1% increase in the amount of all the factors employed causes 2% increase in output |
| ☒ | 1% increase in the amount of all the factors employed causes 1% increase in output |
| ☐ | 1% increases in the amount of all the factors employed causes 3% increase in output |
| ☐ | 1% increase in the amount of all the factors employed causes 0.75% increase in output |

Not sure

Click to Save Answer & Move to Next Question

Question # 10 of 10 (start time: 11:41:54 PM, 31 December 2021)

Total Marks: 1

Ali spends his money income on food and clothes. Holding other things constant, if his income increase by 25%, his budget line would:

Select the correct option

 reload Math Equations

- | | |
|----------------------------------|-----------------------------------|
| ☐ | Rotate about the axis for food |
| ☒ | Shift outward |
| ☐ | Shift inward |
| ☐ | Rotate about the axis for clothes |

Click to Save Answer & Move to Next Question

The slope of budget line $-P_x/P_Y$ is also called:

Select the correct option

- | | |
|----------------------------------|---------------------|
| ☐ | Output ratio. |
| ☒ | Input price ratio. |
| ☐ | Input ratio. |
| ☐ | Output price ratio. |

Click to

Which of the following is TRUE about the total cost curve?

Select the correct option

☐	It relates output with total cost.
☐	It is usually upward sloping.
☐	It gets steeper as output rises.
☒	All of the given options are true.

Question # 9 of 10 (start time: 11:44:31 PM, 31 December 2021)

Which of the following is true for constant returns to scale?

Select the correct option

☒	1% increase in the amount of all the factors employed causes 2% increase in output
☐	1% increases in the amount of all the factors employed causes 0.5% increase in output
☐	1% increase in the amount of all the factors employed causes 1% increase in output
☐	1% increase in the amount of all the factors employed causes 5% increase in output

Click to Save Answer

Question # 10 of 10 (Start time: 11:46:08 PM, 31 December 2021)

Total Marks

A firm is producing output by using two inputs i.e. labor and capital, paying wages to labor and rent to capital. Suppose price of one input increases, it shows that the isocost line:

Select the correct option

- | | |
|----------------------------------|---------------------|
| ☐ | Shifts inward |
| ☐ | Undergoes no change |
| ☐ | Shifts outward |
| ☒ | Pivots out |

Click to Save Answer & Move to Next Question

Question # 1 of 10 (Start time: 11:48:09 PM, 31 December 2021)

Other things remaining the same, if Anam drinks more and more bottles of coke, her marginal utility from coke will:

Select the correct option

Relo

- | | |
|----------------------------------|----------------------------|
| ☐ | Decrease |
| ☒ | Increase and then decrease |
| ☐ | Remains constant |
| ☐ | Increase |

Click to Save Answer & Move to Next Question

Question # 1 of 10 (Start time: 11:42:15 AM, 31 December 2021)

Total Marks: 1

A firm is producing output by using two inputs i.e. labor and capital, paying wages to labor and rent to capital. Suppose price of one input like labor increases, it shows that the isocost line:

Select the correct option

☒	Pivots out
☐	Shifts outward
☐	Undergoes no change
☐	Shifts inward

Question # 2 of 10 (Start time: 11:43:18 AM, 31 December 2021)

Total Marks: 1

Which of the following is the slope of the indifference curve (IC);

Select the correct option

☐	$MU_x = MU_y$
☐	$MU_x + MU_y$
☒	MU_x / MU_y
☐	MU_y / MU_x



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Consumer will consume additional units of commodity until marginal utility becomes:

Select the correct option

☐	Equal to the income
☒	Equal to the price
☐	Equal to the utility
☐	Equal to one

The law of diminishing returns states that as more units of a variable factor are added to a fixed factor:

Select the correct option

☐	The marginal product falls.
☐	The total product falls.
☐	The marginal product increases.
☒	Marginal utility falls.

[Click to Save Answer & Move to Next Question](#)



Question # 5 of 10 (start time: 11:45:07 AM, 31 December 2021)

Total Marks: 1

Which of the following is the slope of the budget line;

Select the correct option

☐	P_x/P_y
☒	$-P_x/P_y$
☐	P_x+P_y
☐	$-P_y/P_x$

Click to Save Answer & Move to Next Question

Question # 6 of 10 (start time: 11:45:38 AM, 31 December 2021)

Total Marks: 1

The law of diminishing marginal utility indicates that marginal utility curve is:

Select the correct option

☐	Upward sloping.
☒	Downward sloping.
☐	Vertical.
☐	U shaped.

Click to Save Answer & Move to Next Question



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Question # 7 of 10 (Start time: 11:46:12 AM, 31 December 2021)

Total Marks: 1

Assume that land used for growing wheat is fixed in quantity and numbers of workers employed are variable. When Ali hires 9 workers, he gets 15 tonnes of wheat. By employing 10 workers, wheat production increases from 15 tonnes to 20 tonnes. The marginal physical product of wheat in this case will be:

Select the correct option

☐	20 tonnes.
☐	2 tonnes.
☐	35 tonnes.
☐	5 tonnes.

Question # 8 of 10 (Start time: 11:47:09 AM, 31 December 2021)

Total Marks: 1

If the quantity of all inputs are increased by 30% and output expands by 25%, then the firm is experiencing ;

Select the correct option

☐	Constant returns to scale
☐	None of above
☐	Increasing returns to scale
☐	Decreasing returns to scale

Click to Save Answer & Move to Next Question



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Question # 9 of 10 (start time: 11:47:47 AM, 31 December 2021)

Total Marks: 1

The law of diminishing marginal utility refers to the:

Select the correct option

- | | |
|----------------------------------|--|
| ☒ | Fall in additional satisfaction created by consumption of more and more units of a good. |
| ☐ | Decrease in total satisfaction as more units of a good are consumed. |
| ☐ | Units of a good. |
| ☐ | Idea that total utility is negative. |

Click to Save Answer & Move to Next Question

Question # 10 of 10 (start time: 11:48:25 AM, 31 December 2021)

Total Marks: 1

When the price of one good change, ;the purchasing power of consumer changes i.e., the budget line shifts leads to;

Select the correct option

- | | |
|----------------------------------|---------------------|
| ☒ | Price Effect |
| ☐ | Substitution Effect |
| ☐ | No Effect |
| ☐ | Income Effect |

Click to Save Answer & Move to Next Question



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Question # 1 of 10 (Start time: 02:12:08 PM, 31 December 2021)

The slope of budget line $-P_x/P_y$ is also called:

Select the correct option

☐	Output ratio.
☐	Input ratio.
☐	Input price ratio.
☐	Output price ratio.

Click to Save Answer & Move to Next Question

Question # 2 of 10 (Start time: 02:13:41 PM, 31 December 2021)

Total Marks: 1

Suppose Ali increases his consumption of oranges when his income rises. This implies that for Ali, oranges are:

Select the correct option

☐	Normal and Giffen good.
☐	Normal good.
☐	Inferior good.
☐	Giffen good.

Click to Save Answer & Move to Next Question



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Question # 3 of 10 (Start time: 02:14:59 PM, 31 December 2021)

Total Marks: 1

Which of the following is true for decreasing returns to scale?

Select the correct option

- | | |
|----------------------------------|---|
| ☐ | 1% increase in the amount of all the factors employed causes 2% increase in output |
| ☐ | 1% increase in the amount of all the factors employed causes 1% increase in output |
| ☒ | 1% increase in the amount of all the factors employed causes 0.75% increase in output |
| ☐ | 1% increases in the amount of all the factors employed causes 3% increase in output |

Click to Save Answer & Move to Next Question



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Question # 4 of 10 (Start time: 02:16:30 PM, 31 December 2021)

The slope of isocost is equal to:

Select the correct option

☐	Price of labor to price of capital
☐	Change in price of labor to change in price of capital
☐	Labor to capital
☒	Change in labor to change in capital

Click to



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Question # 5 of 10 (Start time: 02:18:13 PM, 31 December 2021)

Total Marks: 1

Suppose a firm is producing output by using two inputs labour and capital paying wages to labour and rent to capital. If prices of both inputs decrease then:

Select the correct option

☒	The iso-cost line shifts inward
☐	No change in iso-cost line
☐	The iso-cost line shifts outward
☐	None of above

Click to Save Answer & Move to Next Question

Which of the following is TRUE about the total cost curve?

Select the correct option

☐	It relates output with total cost.
☒	All of the given options are true.
☐	It is usually upward sloping.
☐	It gets steeper as output rises.

Click to Save Answer & Move to Next Question



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Other things remaining the same, if Anam drinks more and more bottles of coke, her marginal utility from coke will:

Select the correct option

 Reload Math Equations

☐	Increase
☐	Increase and then decrease
☐	Remains constant
☒	Decrease

Click to Save Answer & Move to Next Question

A line which charts out all the different combinations of two goods which a consumer can purchase, is called

Select the correct option

☐	Indifference Curve
☒	Budget Line
☐	Supply Curve
☐	Demand Curve



A good whose consumption increases due to increase in its price is categorized as:

Select the correct option

☒	Giffen good
☐	Normal Good
☐	Expensive good
☐	Normal Good and inferior good

Click to See



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If two goods were perfect substitutes, their indifference curves would be:

Select the correct option

☐	L-shaped.
☐	Rectangular hyperbolas.
☐	Parabolic.
☒	Straight lines.



Question # 2 of 10 (Start time: 02:28:59 PM, 31 December 2021)

Suppose that thirty units of output are produced by using five units of labour. The average product of labour is:

Select the correct option

☐	5
☐	1/6
☐	30
☒	6

Click to Save Answer &



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Question # 3 of 10 (Start time: 02:29:54 PM, 31 December 2021)

Total Ma

Ali spends his money income on food and clothes. Holding other things constant, if his income increase by 25%, his budget line would;

Select the correct option

 Reload Math Equation

- | | |
|----------------------------------|-----------------------------------|
| ☒ | Shift outward |
| ☐ | Shift inward |
| ☐ | Rotate about the axis for clothes |
| ☐ | Rotate about the axis for food |

Click to Save Answer & Move to Next Question

Question # 4 of 10 (Start time: 02:30:43 PM, 31 December 2021)

Question # 4 of 10 (Start time: 02:30:43 PM, 31 December 2021)

Which of the following indicates optimal consumption point for the consumer;

Select the correct option

- | | |
|----------------------------------|---|
| ☒ | $P_x/P_y = \Delta Y/\Delta X = MU_x/MU_y$ |
| ☐ | $P_x/P_y = \Delta X/\Delta Y > MU_x/MU_y$ |
| ☐ | $P_y/P_x > \Delta Y/\Delta X = MU_x/MU_y$ |
| ☐ | $P_x/P_y = \text{zero} = MU_x/MU_y$ |



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Question # 5 of 10 (Start time: 02:31:33 PM, 31 December 2021)

According to the law of diminishing marginal utility, as the consumption of particular good increases:

Select the correct option

- | | |
|----------------------------------|---------------------------------|
| ☐ | Total utility decreases. |
| ☐ | Total utility remains constant. |
| ☒ | Marginal utility decreases. |
| ☐ | Marginal utility increases. |

Click to

Assume that first five units of a variable input generate corresponding total outputs per period of 50, 75, 120, 150, and 250 respectively. The marginal product of 5th unit of input is

Select the correct option

- | | |
|----------------------------------|-----|
| ☒ | 100 |
| ☐ | 200 |
| ☐ | 50 |
| ☐ | 150 |



Question # 7 of 10 (Start time: 02:33:39 PM, 31 December 2021)

Total Marks: 1

A farm can produce 100 kilograms of apples per year with 2 workers and 400 kilograms of apples per year with 3 workers. The marginal product of the third worker is:

Select the correct option

☐	400 kilograms.
☐	300 kilograms.
☐	500 kilograms.
☐	100 kilograms.

Question # 8 of 10 (Start time: 02:34:50 PM, 31 December 2021)

The law which explains that additional satisfaction falls by the consumption of more and more units of a good, is called:

Select the correct option

☐	Law of Elasticity
☐	Law of diminishing marginal utility
☐	Law of supply
☐	Law of demand

Click to Save Answer & Mark



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Question # 9 of 10 (Start time: 02:35:33 PM, 31 December 2021)

The law of diminishing returns states that as more units of a variable factor are added to a fixed factor:

Select the correct option

☐	Marginal utility falls.
☒	The marginal product falls.
☐	The marginal product increases.
☐	The total product falls.

Question # 10 of 10 (Start time: 02:36:29 PM, 31 December 2021)

The law of diminishing marginal utility indicates that marginal utility curve is:

Select the correct option

☒	Downward sloping.
☐	Upward sloping.
☐	U shaped.
☐	Vertical.

Question # 1 of 10 (Start time: 11:48:09 PM, 31 December 2021)

Other things remaining the same, if Anam drinks more and more bottles of coke, her marginal utility from coke will:

Select the correct option

Relo

- | | |
|----------------------------------|----------------------------|
| ☒ | Decrease |
| ☐ | Increase and then decrease |
| ☐ | Remains constant |
| ☐ | Increase |

Click to Save Answer & Move

← → ↻ vulms.vu.edu.pk/Quiz/QuizQuestion.aspx?ver=96485b1f-ffd1-4866-a85b-2b6fd0f6158

Which of the following is the slope of the indifference curve (IC);

Select the correct option

☒	MU_x / MU_y
☐	MU_y / MU_x
☐	$MU_x + MU_y$
☐	$MU_x = MU_y$

Click t



Question # 2 of 10 (Start time: 02:39:34 PM, 31 December 2021)

Suppose that 24 units of output are produced by using 6 units of labor. Which of the following is TRUE in this context?

Select the correct option

☒ The average product of labor is 4.

☐ None of the given options.

☐ The total product of labor is $1/4$.

☐ The marginal product of labor is 4.

Activate Windows
Go to PC settings

Suppose that 24 units of output are produced by using 6 units of labor. Which of the following is TRUE in this context?

Select the correct option

☒ The average product of labor is 4.

☐ None of the given options.

☐ The total product of labor is $1/4$.

☐ The marginal product of labor is 4.

Activate Windows
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Question # 3 of 10 (Start time: 02:40:56 PM, 31 December 2021)

If population of a country is increasing but output remains constant, it implies that:

Select the correct option

☐ None of the given options is true

☐ Constant returns set in

☐ Increasing returns set in

☒ Diminishing returns set in

← → C vulms.viu.edu.pk/Quiz/QuizQuestion.aspx?ver=02c1ad4a-6611-48db-8c93-af12c7312066

Marginal Utility analysis is an analysis of utility which is also known as:

Select the correct option

☐ Measurement Approach

☐ Cardinal Approach

☐ Ordinal Approach

☐ Indifference Curve Approach



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How output of a business responds to a change in factor inputs is called;

Select the correct option

- ☐ Economies of scale
- ☐ Returns to factor
- ☐ Diseconomies of scale
- ☐ Returns to scale

----- is the rate at which a firm can substitute capital for labor and hold output constant.

Select the correct option

- ☐ Marginal rate of production
- ☐ Marginal rate of technical substitution
- ☐ Diminishing marginal returns
- ☐ Marginal rate of substitution



Suppose the quantities of labor and capital used in a production process increase by 30 percent. As a result, the output increases only by 20 percent. The production function in this situation exhibits:

Select the correct option

- ☐ Increasing returns to factors.
- ☐ Decreasing returns to scale.
- ☐ Increasing returns to scale.
- ☐ Constant returns to scale.

Activate Windows
Go to PC settings to activate Windows

If marginal utility is greater than price, then consumer will increase:

Select the correct option

- ☐ Supply
- ☐ Production
- ☐ Consumption
- ☐ Income



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Which of the following is true for decreasing returns to scale?

Select the correct option

- ☐ 1% increase in the amount of all the factors employed causes 1% increase in output
- ☐ 1% increase in the amount of all the factors employed causes 2% increase in output
- ☐ 1% increases in the amount of all the factors employed causes 3% increase in output
- ☐ 1% increase in the amount of all the factors employed causes 0.75% increase in output

Question # 10 of 10 (Start time: 02:49:32 PM, 31 December 2021)

The optimal point of consumption is that point where consumer surplus becomes:

Select the correct option

- ☐ Negative
- ☐ Maximum
- ☐ Zero
- ☐ Positive



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Question # 1 of 10 (Start time: 06:04:31 PM, 31 December 2021)

Total Marks: 1

Suppose Ali increases his consumption of oranges when his income rises. This implies that for Ali, oranges are:

Select the correct option

☐	Normal good.
☐	Inferior good.
☐	Normal and Giffen good.
☐	Giffen good.

Question # 2 of 10 (Start time: 06:06:07 PM, 31 December 2021)

Total Marks: 1

The change in total physical product that results from employing an extra unit of the variable factor is the:

Select the correct option

☐	Average physical product of labor
☐	Total profit
☐	Total revenue
☐	Marginal physical product of labor



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Assume that land used for growing wheat is fixed in quantity and numbers of workers employed are variable. If the marginal physical product of wheat is greater than the average wheat production, then:

Select the correct option

- | | |
|-----------------------|--|
| ☐ | Average physical product of wheat will be maximized. |
| ☐ | Average physical product of wheat will decrease. |
| ☐ | Marginal physical product of wheat will increase. |
| ☐ | Average physical product of wheat will increase. |

[Click to Save Answer & Move to Next Question](#)



Question # 4 of 10 (Start time: 06:09:19 PM, 31 December 2021)

Total Marks: 1

Input price ratio is equal to:

Select the correct option

☐	Marginal rate of substitution
☐	Slope of budget line
☐	Marginal rate of technical substitution
☐	Output price ratio

[Click to Save Answer & Move to Next Question](#)

ECO401 - Economics (Quiz No. 2)

Quiz Start Time: 06:04 PM, 31 December 2021

Question # 5 of 10 (Start time: 06:10:42 PM, 31 December 2021)

Total Marks: 1

If the marginal physical product is above the average physical product:

Select the correct option

☐	Average variable costs will fall.
☐	The total physical product will fall.
☐	Total revenue will fall.
☐	The average physical product will rise.

[Click to Save Answer & Move to Next Question](#)



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'Advertising by a rival industry' is an example of:

Select the correct option

☐	Internal diseconomies of scale
☐	External economies of scale
☐	Returns to factor
☐	Internal economies of scale

Click to Save Answer & Move to Next



The marginal utility curve is exactly equal to:

Select the correct option

☐	Total utility Curve
☐	Demand curve
☐	Supply Curve
☐	Income Curve

[Click to Save Answer & Move to Next Question](#)



Question # 8 of 10 (Start time: 06:14:23 PM, 31 December 2021)

Total Marks: 1

The slope of Isocost is equal to:

Select the correct option

☐	Labor to capital
☐	Price of labor to price of capital
☐	Change in price of labor to change in price of capital
☐	Change in labor to change in capital

Click to Save Answer & Move to Next Question

Question # 9 of 10 (Start time: 06:16:10 PM, 31 December 2021)

Total Marks: 1

The law which explains that additional satisfaction falls by the consumption of more and more units of a good, is called:

Select the correct option

 Reload Math Equations

☐	Law of supply
☐	Law of Elasticity
☐	Law of demand
☐	Law of diminishing marginal utility

Click to Save Answer & Move to Next Question



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All consumes only two goods, Apples and Oranges. If he is confronted with different combinations of Apples and Oranges that give him the equal level of satisfaction, then he will:

Select the correct option

- | | |
|-----------------------|---|
| ☐ | Choose any combination of Apples and Oranges. |
| ☐ | Buy more Oranges than Apples. |
| ☐ | Buy only Apples. |
| ☐ | Buy more Apples than Oranges. |

Click to Save Answer & Move to Next Question

Question # 1 of 10 (Start time: 06:19:13 PM, 31 December 2021)

Question # 1 of 10 (Start time: 06:19:13 PM, 31 December 2021)

Question # 1 of 10 (Start time: 06:19:13 PM, 31 December 2021)

Total Marks: 1

A 50% increase in all inputs results in more than 50% increase in output, this statement describes an aspect of ;

Select the correct option

- | | |
|-----------------------|-----------------------------|
| ☐ | Increasing returns to scale |
| ☐ | Diseconomies of scale. |
| ☐ | Decreasing returns to scale |
| ☐ | Economies of scale. |

Click to Save Answer & Move to Next Question



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Question # 2 of 10 (Start time: 06:21:20 PM, 31 December 2021)

Total Marks: 1

The curve which shows the relationship between income and quantity demanded is called;

Select the correct option

- | | |
|-----------------------|---------------|
| ☐ | Supply Curve |
| ☐ | Philips Curve |
| ☐ | Cost Curve |
| ☐ | Engel Curve |

Question # 3 of 10 (Start time: 06:22:30 PM, 31 December 2021)

Total Marks: 1

Setting up of credit information bureaus by banks is an example of

Select the correct option

- | | |
|-----------------------|--------------------------------|
| ☐ | External economies of scale |
| ☐ | Internal economies of scale |
| ☐ | Returns to factor |
| ☐ | Internal diseconomies of scale |

[Click to Show Answer & Move to Next Question](#)

Setting up of credit information bureaus by banks is an example of

Select the correct option

☐	External economies of scale
☐	Internal economies of scale
☐	Returns to factor
☐	Internal diseconomies of scale

[Click to Save](#)



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Ali consumes only two goods, Apples and Oranges. If he is confronted with different combinations of Apples and Oranges that give him the equal level of satisfaction, then he will:

Select the correct option

- ☐ Choose any combination of Apples and Oranges.
- ☐ Buy only Apples.
- ☐ Buy more Apples than Oranges.
- ☐ Buy more Oranges than Apples.

[Click to Save Answer & Move to Next Question](#)

If marginal utility is equal to 50 and price is equal to 40, consumer surplus will be:

Select the correct option

- ☐ 100
- ☐ 10
- ☐ 20
- ☐ 90

[Click to Save Answer](#)

Question # 6 of 10 (Start time: 06:25:49 PM, 31 December 2021)

To

A firm is producing output by using two inputs i.e. labor and capital, paying wages to labor and rent to capital. Suppose price of one input increases, it shows that the isocost line:

Select the correct option

☐	Shifts inward
☐	Undergoes no change
☐	Shifts outward
☐	Pivots out

[Click to Save Answer & Move to Next Q](#)

Question # 7 of 10 (Start time: 06:26:47 PM, 31 December 2021)

Suppose firm A is producing bicycles. If demand for bicycles is increased and firm A has enough time to increase supply by employing more factors of production, then one can say that:

Select the correct option

☐	Firm A is operating in the short run.
☐	Firm A has inelastic demand curve for bicycles.
☐	Firm A has inelastic supply curve for bicycles.
☐	Firm A is operating in the long run.



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How output of a business responds to a change in factor inputs is called;

Select the correct option

☐	Returns to scale
☐	Returns to factor
☐	Diseconomies of scale
☐	Economies of scale

Click to Speed

Question # 9 of 10 (Start time: 06:29:00 PM, 31 December 2021)

The optimal consumption point for the consumer is a point where:

Select the correct option

☐	Slope of the indifference curve is equal to slope of the budget line.
☐	All of the given options are true.
☐	Marginal rate of substitution equals the relative price ratio.
☐	Budget line is tangent to the highest possible indifference curve.



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A 50% increase in all inputs results in more than 50% increase in output, this statement describes an aspect of ;

Select the correct option

☐	Diseconomies of scale.
☐	Increasing returns to scale
☐	Decreasing returns to scale
☐	Economies of scale.



If marginal physical product is equal to average physical product:

Select the correct option

☐	The average physical product will not change.
☐	The total physical product will fall.
☐	Total revenue will fall.
☐	Average variable costs will fall.



A good whose consumption increases due to increase in its price is categorized as:

Select the correct option

☐	Giffen good
☐	Expensive good
☐	Normal Good
☐	Normal Good and inferior good

Click to Save Answer & Move to Next



Question # 3 of 10 (Start time: 09:20:00 PM, 21 December 2021)

Suppose a firm is facing higher per unit cost due to increase in size of the industry. This implies that firm is experiencing:

Select the correct option

- | | |
|-----------------------|--------------------------------|
| ☐ | External diseconomies of scale |
| ☐ | External economies of scale |
| ☐ | Internal economies of scale |
| ☐ | Internal diseconomies of scale |

A firm is producing output by using two inputs i.e. labor and capital, paying wages to labor and rent to capital. Suppose isocost line inward, it shows that:

Select the correct option

- | | |
|-----------------------|---|
| ☐ | Price of labor and capital has been decreased |
| ☐ | Price of capital has been increased |
| ☐ | Price of labor has been increased |
| ☐ | Price of labor and capital has been increased |

Click to Save Answer & Move to Next



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Other things remaining the same, if Anam drinks more and more bottles of coke, her marginal utility from coke will:

Select the correct option

 Reload M

☐	Increase
☐	Increase and then decrease
☐	Decrease
☐	Remains constant

Click to Save Answer & Move to Next Q

If inputs used in the production of wheat are increased by 30 percent and wheat production increases by 20 percent, then there must be:

Select the correct option

☐	Constant returns to scale.
☐	Increasing returns to factor.
☐	Increasing returns to scale.
☐	Decreasing returns to scale.

Click to Save Answer & Move to Next Q



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If money income of consumer rises, his budget line will:

Select the correct option

☐	Shift Inward
☐	Shift Outward
☐	No Shift
☐	Shift Crossword

Click to Save Answer & Move to Next Q



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In case of decreasing returns to scale isoquants:

Select the correct option

- ☐ Are equally spaced
- ☐ Become closer and closer to each other
- ☐ Undergo no change
- ☐ Become further and further apart from each other

Question # 10 of 10 (Start time: 08:57:30 PM, 31 December 2021)

The law of diminishing returns states that as more units of a variable factor are added to a fixed factor:

Select the correct option

- ☐ Marginal utility falls.
- ☐ The marginal product falls.
- ☐ The marginal product increases.
- ☐ The total product falls.



0

Question # 1 of 10 (Start time: 06:59:40 PM, 31 December 2021)

If two goods were perfect complements, their indifference curves would be:

Select the correct option

☐	Straight lines.
☐	Parabolic.
☐	L-shaped.
☐	Rectangular hyperbolas.



If two goods were perfect substitutes, their indifference curves would be:

Select the correct option

☐	L-shaped.
☐	Rectangular hyperbolas.
☐	Straight lines.
☐	Parabolic.



The curve which shows the relationship between income and quantity demanded is called;

Select the correct option

☐	Cost Curve
☐	Philips Curve
☐	Engel Curve
☐	Supply Curve

The optimal consumption point for the consumer is a point where:

Select the correct option

☐	All of the given options are true.
☐	Budget line is tangent to the highest possible indifference curve.
☐	Marginal rate of substitution equals the relative price ratio.
☐	Slope of the indifference curve is equal to slope of the budget line.

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A farmer has produced 500 tonnes wheat on 1 acre land by employing 10 workers. The average physical product in this case would be:

Select the correct option

- ☐ 5
- ☐ 50
- ☐ 10
- ☐ 500

Click to Save Answer & Move



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Question # 6 of 10 (Start time: 07:04:18 PM, 31 December 2021)

Total Marks: 1

Suppose firm is producing 1000 units of a product by employing 80 units of labor and 40 units of capital. If the marginal physical product of labor (MPPL) and the marginal physical product of capital (MPPK) are 40 units and 50 units respectively, then marginal rate of technical substitution is:

Select the correct option

☐	0.12
☐	0.15
☐	0.8
☐	0.2

Click to Save Answer & Move to Next Question



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Which of the following statements describes the presence of diminishing returns?

Select the correct option

- | | |
|-----------------------|---|
| ☐ | The marginal product of a factor is positive and rising. |
| ☐ | The marginal product of a factor is falling and negative. |
| ☐ | The marginal product of a factor is constant. |
| ☐ | The marginal product of a factor is positive but falling. |

[Click to Save Answer](#)

An Indifference curve map shows a number of indifference curves corresponding to:

Select the correct option

- | | |
|-----------------------|-----------------------------|
| ☐ | Same levels of utility |
| ☐ | Lower levels of utility |
| ☐ | Lower levels of commodities |
| ☐ | Different levels of utility |

[Click to](#)



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Question # 9 of 10 (Start time: 07:07:15 PM, 31 December 2021)

When the price of one good changes, the purchasing power of consumer changes, which effect consumer's;

Select the correct option

☐	Engel Curve
☐	Phillip Curve
☐	Supply Curve
☐	Budget Line

Click to Save Answer & Move to Next Question



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Question # 10 of 10 (Start time: 07:08:16 PM, 31 December 2021)

Which of the following is true for decreasing returns to scale?

Select the correct option

- | | |
|-----------------------|---|
| ☐ | 1% increase in the amount of all the factors employed causes 0.75% increase in output |
| ☐ | 1% increases in the amount of all the factors employed causes 3% increase in output |
| ☐ | 1% increase in the amount of all the factors employed causes 2% increase in output |
| ☐ | 1% increase in the amount of all the factors employed causes 1% increase in output |

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